

in the price of its securities—since it may be easier to produce improvement in the future precisely because its performance is substandard.

These observations apply also to two intermediate factors—the traffic density (ton-miles carried per mile of road) and the average length of haul per ton. These figures relate to the character of the traffic, but their influence shows itself largely in the operating ratio.

The Specific Security. As long as a road seems certain to remain solvent with ample margins to spare, all its obligations may be viewed almost as a unit, and the difference in value between one fixed-value security and another is relatively minor. With the first threat of trouble this difference begins to take on great significance. Attention is then directed (1) to the character of the mileage securing the bond and (2) to the order of its lien thereon. The necessity of careful study, in such cases, of the specific position of so-called “underlying bonds” and “divisional liens” was emphasized at the end of Chap. 6. In studies of this kind the “Freight Traffic Density Charts”¹¹ will prove of great value, though it must be pointed out that these are not readily accessible to ordinary analysts. Insolvent roads are frequently required to segregate the earnings and expenses applicable to the various mortgage liens, to determine the contribution of each issue to the earning power of the system. Such data are usually made the basis of the treatment to be accorded these issues in the reorganization plan.¹²

In Appendix Note 66, we present an analysis of certain securities of Chicago, Milwaukee, St. Paul and Pacific Railway as of December 31, 1939, to illustrate the technique of security analysis as applied to speculative railroad bonds. The reader’s attention is directed also to the three much older railroad analyses reproduced in the same Note. It may be added that these analyses, and the entire preceding discussion, are equally applicable to railroad stocks as well as speculative bonds.

¹¹ See footnote 1 in this chapter.

¹² For segregations of this kind see the figures relating to the various mortgage liens of Chicago and North Western for the year 1937. That road’s first reorganization plan (dated 1936) based its treatment of the different issues on their relative prices in a preceding period, but this was superseded by the more accurate determination of relative value. Similar data were made the basis of the treatment of the bonds of Chicago, Rock Island and Pacific, as explained in its reorganization plan, dated July 15, 1936. Note, however, the special treatment sought to be accorded St. Paul and Kansas City Short Line 4¹/₂s, for reasons other than operating results.